

Question:

Josh decides to try flipping a house. He buys a house for \$80,000 and then puts in \$50,000 in repairs. This increased the value of the house by 150%. How much profit did he make?

Reasoning + Answer:

<think>
we know josh bought the house for 80 thousand dollars so we can write that down
so now it says he put in 50 thousand dollars in repairs so now we do the 80 thousand he paid for it plus
the 50 thousand in repairs to work out the total cost
so we do 80 thousand + 50 thousand which equals 130 thousand now that's the total cost so now we
know how much it cost josh to buy and do up the house
then the question says the repairs increased the value of the house by 150% so we know the 150%
increase is on the original 80 thousand price
so we do 80 thousand times 150 percent which we do by first changing the 150 percent into a decimal
so 150 percent is the same as 150 divided by 100 which is 1.5
so now we do 80 thousand times 1 point 5 which equals 120 thousand
so now we know the house is now worth 120 thousand because the 150 percent increase was on the
original price of 80 thousand
so now to work out joshs profit we take away the total cost which we worked out was 130 thousand
from the new value of the house which we know is 120 thousand
so we do 120 thousand take away 130 thousand which equals negative 10 thousand
but because we get a negative number this actually means josh actually lost money not made profit
so his profit is negative 10 thousand
</think><answer>-10000</answer>